transcends the BRICS, just as the United States transcends its G7 partners. As shown in Figures 2.2 and 2.3, in 2015, China's GDP (PPP) was 55.8 percent of the BRICS whole (67.8 percent in MER), while the U.S. GDP (PPP) represented 50.2 percent of the total G7 economies (52.6 percent in MER).[37]

Despite their unevenness in size (five members versus seven), such BRICS–G7 comparisons are instructive. Both groups have preponderant powers among their members, and the BRICS also have started to narrow the gap with the G7 in their contributions to the global economy. In 1990, the G7 and BRICs countries represented 59 and 11 percent of global GDP in market exchange rates, respectively. By 2015, as shown in Figure 2.1, the G7 countries' share of global output had declined to 46 percent, while the BRICS share had grown to 23 percent (2015 MER). However in PPP terms, both groups accounted for a 31 percent share of global GDP in 2016, despite the BRICS being outnumbered by two countries. BRICS are forecast to surpass the G7 share of global GDP in PPP terms as early as 2016, depending on variations in growth rates and prices. With respect to combined GDP output, as shown in Figure 2.3, the G7 in 2015 contributed twice the BRICS' combined GDP output, or $34 trillion (MER), compared to $15.5 trillion (MER) by the BRICS. However, in PPP terms, as shown in Figure 2.2, the G7 contributed $35.7 trillion as opposed to the BRICS' $35 trillion, with the BRICS projected to surpass the G7 starting in 2016.[38]

Estimating when the BRICS collectively might outdistance the G7 measured in market exchange rates depends heavily on assumptions about relative growth weights (i.e., How much will China's average growth rate decline in out years, and by what increments? Will the three stagnant BRICS countries undertake needed structural reforms and increase potential growth? Will the allies of the United States raise their average growth above 1 or 1.5 percent? Will the United States overcome secular stagnation and grow above an average of 2 percent per year?) and currency appreciation (i.e., How much will the RMB appreciate/decline in value per year?). Given that China's population is four times the size of the United States, it is likely that with continued convergence, China's GDP could surpass that of the United States in market exchange rates in the 2020s, or the 2030s at the latest, always depending on the aforementioned assumptions and all other things being equal. Likewise, the BRICS will be boosted further by India's rapid growth.

Forecasting about the BRICS' economic potential has been particularly contentious. However, a decade after Jim O'Neill's 2001 inaugural paper on the BRICs,[39] Goldman Sachs issued a decennial review noting that the process of global economic transformation was proceeding faster than expected.[40] Goldman revised its original projections, forecasting in 2011 that the original BRIC economies would make up four of the five largest economies in the world by 2050, measured in U.S. dollars, and that the Chinese economy would surpass the United States in 2026, while the BRICs together would surpass the United States in 2015 and the G7 in 2032. A team at the Organisation for Economic Co-operation and Development (OECD) made similar predictions.[41]

In fact, China's economic acceleration involved significant convergence, allowing it to reach a quarter of U.S. per capita GDP (in PPP terms),[42] while Russia's per capita GDP reached 45.5 percent of the U.S. level. Earlier estimates expected that prices and currencies would rise relative to the United States and other advanced countries, leading to such outcomes.[43] China's currency appreciated significantly since 2005, which helps explain its rapid rise in the rankings of top ten economies. Eswar Prasad calculates that by the beginning of 2015, the RMB had appreciated by about 35 percent relative to the dollar, by 47 percent on a trade-weighted basis, and by about 57 percent on an inflation-adjusted basis.[44] However, the RMB started experiencing two-way volatility in 2014 and is likely to encounter depreciation pressures against the U.S. dollar as the Federal Reserve raises its discount rate.

Goldman Sachs has been accused of erroneously extrapolating on the basis of the boom in emerging markets and forecasting hyperbole while "dreaming with the BRICS."[45] However, the firm proved too conservative in its BRICs projections—the four economies grew faster than expected. Moreover, the original Goldman predictions were not linear projections; they emphasized the importance of both economic convergence and real exchange rate appreciation. As China and the other BRICS gradually converged toward advanced countries' per capita levels, in line with economic theory, their growth would slow, although a host of other factors (including poor governance) could stymie convergence.[46] Taking the point one step further, Lant Pritchett and Lawrence Summers show that no country grows at warp speed forever, and that "[r]egression to the mean is perhaps the single most robust and empirical relevant fact about cross-national growth rates."[47] Even as it regresses to the mean, however, China will remain the BRICS' preponderant power (until India catches up).

Two important implications logically follow. First, given that both groups, the G7 and the BRICS, have dominant members that constitute more than half of their total economic weight, these two major powers, the United States and China, are more able and likely than the others to use their superior positions to pursue their independent interests, as well as collective financial statecraft. When their respective interests are compelling, the